

5. THE GOVERNMENT: FUNCTIONS AND SCOPE	60
5.1 Components of the Government Budget	61
5.1.1 The Revenue Account	61
5.1.2 The Capital Account	63
5.1.3 Measures of Government Deficit	64
5.2 Fiscal Policy	65
5.2.1 Changes in Government Expenditure	66
5.2.2 Changes in Taxes	67
5.2.3 Debt	71
6. OPEN ECONOMY MACROECONOMICS	76
6.1 The Balance of Payments	77
6.1.1 BoP Surplus and Deficit	77
6.2 The Foreign Exchange Market	78
6.2.1 Determination of the Exchange Rate	79
6.2.2 Flexible Exchange Rates	80
6.2.3 Fixed Exchange Rates	83
6.2.4 Managed Floating	84
6.2.5 Exchange Rate Management: The International Experience	84
6.3 The Determination of Income in an Open Economy	87
6.3.1 National Income Identity for an Open Economy	88
6.3.2 Equilibrium Output and the Trade Balance	90
6.4 Trade Deficits, Savings and Investment	93
GLOSSARY	98

